

Atchison Active Australian Shares SMA

31 January 2025

	3 Months	6 Months	1 Year	2 Years (p.a.)	Since Inception
AtchisonAusShares	4.99	7.1	14.73	11.02	13.5
Peer Group	3.97	5.85	12.34	8.57	11.01
Inflation	0.0	0.55	2.78	3.43	3.38
Outperformance vs Peers	1.02	1.25	2.4	2.45	2.49
Outperformance vs Inflation	4.99	6.55	11.96	7.59	10.12

Inception Date: 31 December 2022

Investment Objective

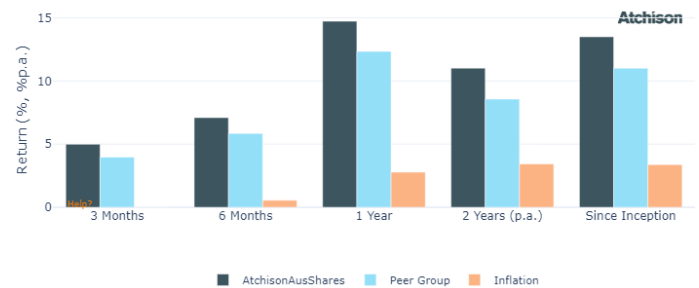
Outperform the FE AMI Equity – Australia Peer Index, after fees, over rolling five-year periods.

Strategy Overview

The Atchison Active Australian Shares Portfolio offers an all-in-one solution for your Australian shares, investing across different fund managers, low-cost ETF's, investment styles, factors and sectors. The portfolio is continuously reviewed and adjusted to remain appropriately positioned to manage and take advantage of evolving investment and economic conditions.

Key Details	
Strategy Category	Australian Shares
Strategy Provider	Atchison
Benchmark	FE AMI Equity – Australia Peer Index
Inception Date	31 December 2022
Investment Horizon	10 Years
Risk Level (SRM)	High
Min Investment	5k
Product Fee	Platform Specific - Refer to PDS
Underlying MER	0.40%
Underlying Perf Fees	0.29%

Performance



Asset Allocation

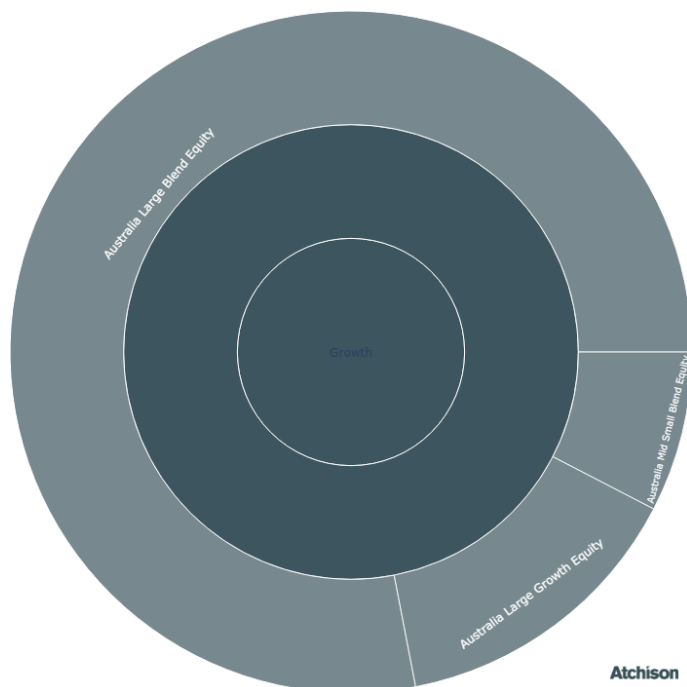


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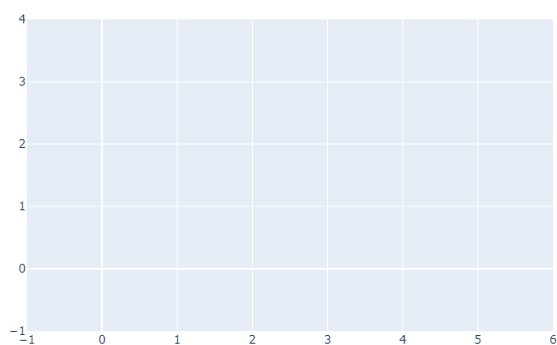
Asset Class Performance

Period	1 Year	2 Years (p.a.)	Since Inception
Australian Shares	14.73	11.02	13.5
International Shares	0.0	0.0	0.0
Real Assets	0.0	0.0	0.0
Alternatives	0.0	0.0	0.0
Long Duration	0.0	0.0	0.0
Floating Rate	0.0	0.0	0.0
Cash	0.0	0.0	0.0

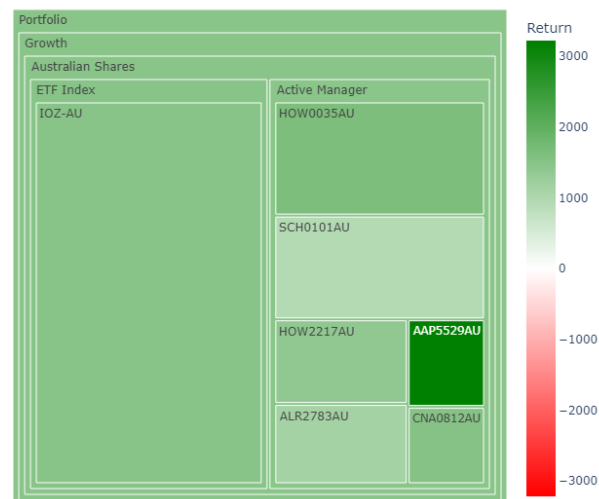
Portfolio Construction



Correlations



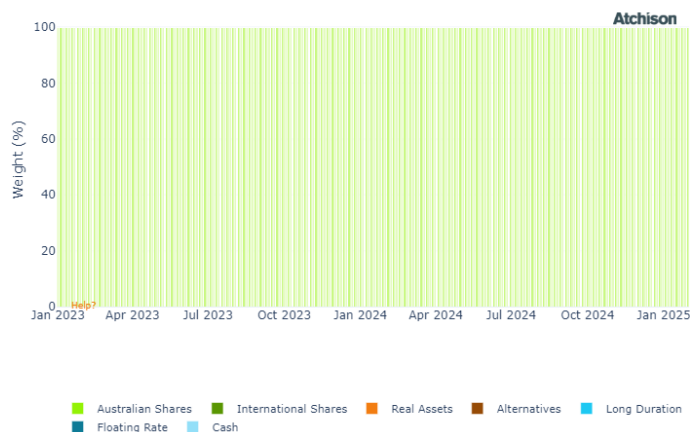
1 Year Performance Heatmap



Top 10 Share Exposures

Code	Name
BHP-AU	BHP Group Limited
CBA-AU	Commonwealth Bank of Australia
CSL-AU	CSL Limited
NAB-AU	National Australia Bank Limited
ANZ-AU	ANZ Group Holdings Limited
WES-AU	Wesfarmers Limited
WBC-AU	Westpac Banking Corporation
WDS-AU	Woodside Energy Group Ltd
TLS-AU	Telstra Group Limited
RIO-AU	Rio Tinto Limited

Historical Allocation Changes



Market Update

Australian stocks surged, with the S&P/ASX 200 gaining 4.6% and hitting a record high. Ten of eleven sectors in the ASX 200 rose, with Consumer Discretionary up 7.1% and Financials up 6.1%. Utilities were the only sector in negative territory (-2.4%) for the month.

Utilities are defensive stocks that tend to outperform in low-rate environments due to their stable, bond-like dividend returns. However, as bond yields rose in early January, fixed income became more attractive relative to utilities, leading to a rotation out of the sector.

The S&P 500 hit a record high early in the month before a sharp decline triggered by the launch of a new AI model, Deep Seek, from China. However, strong earnings and consumer spending helped the index finish with a 3% monthly gain. US Mid-Cap (3.9%) and Small-Cap (2.9%) companies outperformed the S&P 500 (2.8%) in January. Investors remain cautious about potential Fed rate cuts, inflation, already high valuations on Mega Caps, implications of Deep Seek, and potential trade tariff retaliation affecting neighboring US partners. Most sectors saw positive returns, led by Communication Services, Health Care, and Financials. Technology was the only sector to decline (-2.9%), facing headwinds from AI-related concerns.

European stocks surged in January, driven by interest rate cuts and resilience to AI-related volatility. The FTSE 100 climbed 6.8%. Financials and Technology led gains, both up 8.4%, while Consumer Staples and Real Estate underperformed, rising just 2.2% and 2.4%. Despite European mid- and small-cap stocks rising, they trailed large caps, gaining 5.9% and 3.8%, respectively.

Bond markets gained across the board, supported by falling 10-year Treasury yields and a flight to safety amid market volatility. High-yield credit outperformed investment-grade bonds, reflecting stronger investor risk appetite.

Australian bonds were mostly positive, as markets priced in an 80% probability of an RBA rate cut in February. This expectation

drove bond yields lower and prices higher, in line with broader expectations of global monetary easing.

Eurozone government bonds declined in January as markets had already priced in expected ECB rate cuts. Additionally, improved economic sentiment led investors to rotate out of safe-haven bonds and into riskier assets. Meanwhile, European corporate and high-yield bonds rose, benefiting from narrowing credit spreads, as investors perceived lower risk in corporate debt due to anticipated lower borrowing costs.

Gold reached another record high, driving strong gains in Precious Metals, as investors sought safe-haven assets amid tariff uncertainty.

Fine Print

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